

EQUITY DEALER Training Program

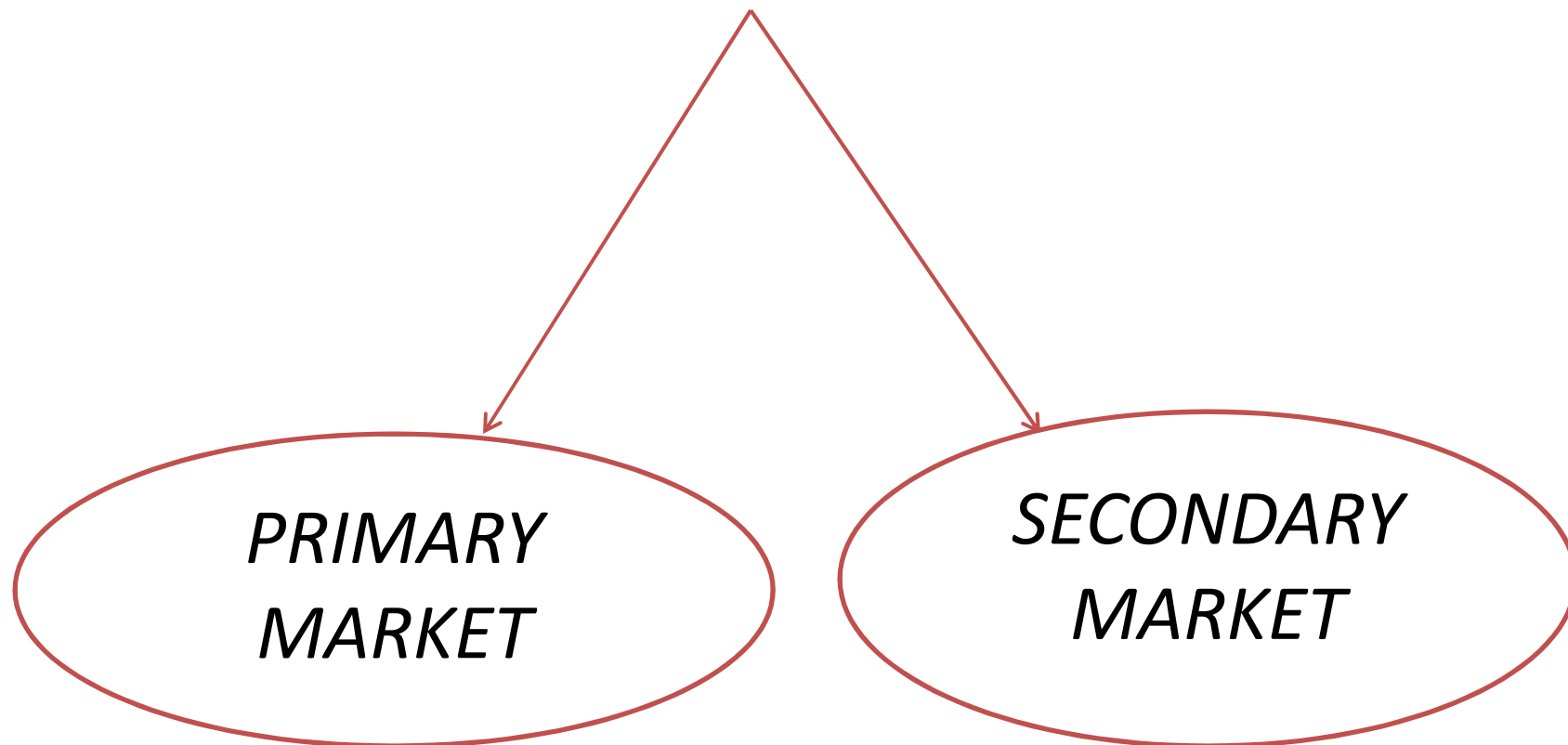
- National Stock Exchange of India



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**AN OVERVIEW OF THE
INDIAN
SECURITIES MARKET**

MARKET SEGMENTS



Securities, in the form of equity or debt, can be issued in domestic /international markets at face value, discount or premium

Types of Issues

- Private Placements
- Public Issues
 - IPO – Initial Public Offering
 - FPO – Follow on / Further Public Offering
 - Rights Issue

Secondary market refers to a market where securities are traded after being offered to the public in the primary market or listed on the Stock Exchange

Segments in Secondary Markets

- ☐ Equity Market
- ☐ Debt Market
- ☐ Derivatives (Futures & Options) Market
- ☐ Currency Market

Key Indicators of Securities Market



- ❑ **Index** - Index of NSE is S&P CNX Nifty.

- ❑ **Market Capitalization**

Market Capitalisation = Closing price of share x Number of outstanding shares

- ❑ **Market Capitalization Ratio**

Market capitalization of stocks divided by GDP

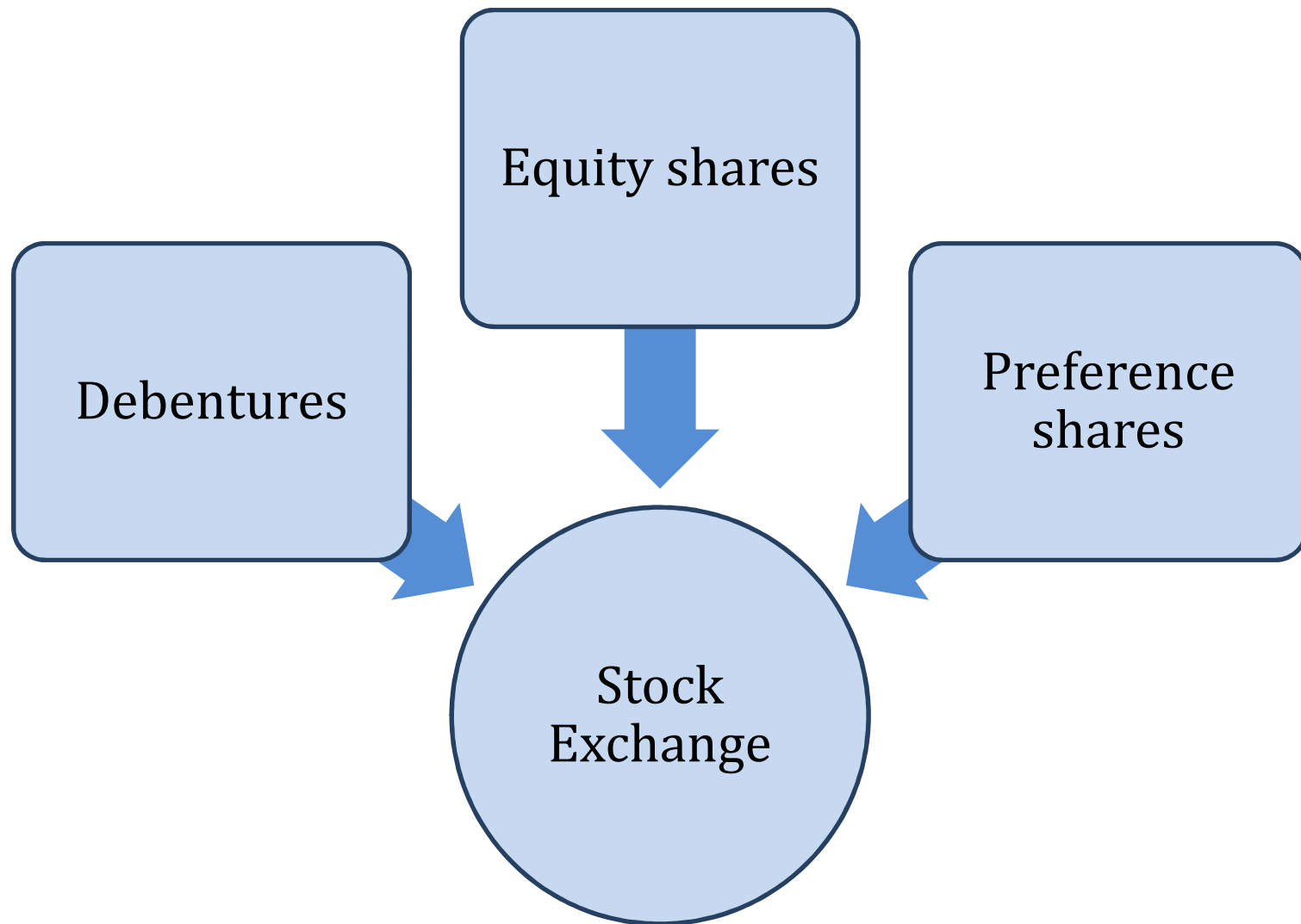
- ❑ **Turnover**

Traded quantity multiplied by the price at which the trade takes place

- ❑ **Turnover Ratio**

Turnover Ratio = Turnover at Exchange divided by Market Capitalisation at Exchange

Products



Market Participants



• Investors



• Issuers



• Intermediaries

Intermediaries to be Registered with SEBI NSE

- ☐ Broker
- ☐ Sub Broker
- ☐ Merchant Banker
- ☐ Underwriter
- ☐ Banker to the issue
- ☐ Registrar to the Issue
- ☐ Share transfer Agent
- ☐ Mutual fund
- ☐ Trustee of Trust Deed
- ☐ Portfolio Manager
- ☐ Investment Advisor
- ☐ Depository Participant
- ☐ Depository
- ☐ Credit rating agencies CRISIL / CARE
- ☐ FIs
- ☐ Custodians
- ☐ Collective Investment Vehicle / Chit fund
- ☐ Venture Capitalist

Reforms in Indian Securities Market

- ☐ Establishment of market regulator – SEBI
- ☐ Permitting foreign investments in equity markets
- ☐ Demutualization
- ☐ Screen Based Trading
- ☐ Clearing Corporation
- ☐ Dematerialization
- ☐ Reduction in trading cycle
- ☐ Equity derivatives trading
- ☐ Investor Protection

Reforms in Indian Securities Market

- ❑ Launch of Exchange Traded Funds
- ❑ Direct Market Access
- ❑ Launch of Securities Lending & Borrowing Scheme
- ❑ Launch of Currency Futures
- ❑ ASBA- Application Supported by Blocked Amount
- ❑ Issue of Capital and Disclosure Requirements (ICDR) Regulations 2009

TRADING MEMBERSHIP

STOCK BROKER



- ❑ Should be Registered with SEBI before starting of business
- ❑ Holds membership of Stock Exchange
- ❑ Should abide by rules & regulations & bye-laws of Stock Exchange of which he is the member
- ❑ Should pay the amount of fees for registration in the manner prescribed by the Exchange
- ❑ Should take adequate steps for redressal of grievances of the investors within one month of the date of the receipt of the complaint and keep SEBI informed about the same

Who can take Membership of Exchange

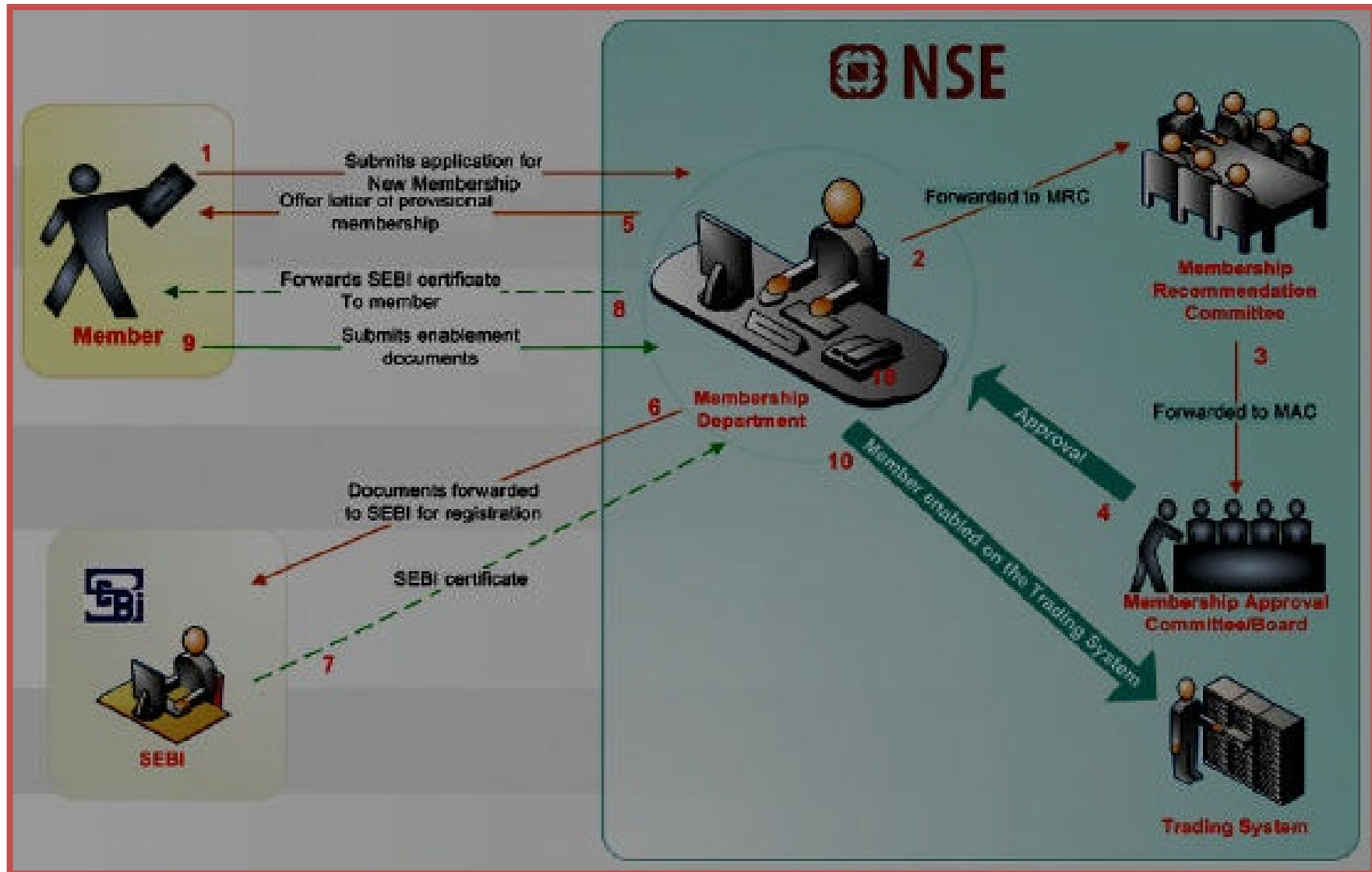


- ☐ Individuals
- ☐ Partnership Firms
- ☐ Institutions, including subsidiaries of banks engaged in financial services
- ☐ Banks (for Currency Derivatives Segment)
- ☐ Body corporates including companies as defined in the Companies Act, 1956.
- ☐ Entities as may be permitted from time to time by RBI/SEBI under the Securities Contracts (Regulations) Rules, 1957

Membership for Different Segments at NSE NSE

- ❑ Capital Market (CM) segment
- ❑ Futures & Options (F&O) segment
- ❑ Wholesale Debt Market (WDM) segment
- ❑ Currency Derivatives (CD) .
- ❑ Clearing Membership of National Securities Clearing Corporation Ltd. (NSCCL) as a Professional Clearing Member (PCM)
- ❑ Combination Memberships can also be taken

Admission Procedure for New Membership NSE



Authorised Persons (APs)



- ❑ Acts as an Agent of the Stock Broker
- ❑ Shall not charge any amount directly from the clients as brokerage will be paid by Stock Broker
- ❑ The clients introduced by APs will have a direct relationship with the trading member
- ❑ The clients introduced by Aps are required to deliver securities and make payments directly in the trade name of the trading member
- ❑ The trading member should deliver securities and make payments directly in the name of the clients

Sub - Brokers



- ❑ Should be registered with SEBI before starting of business
- ❑ Important intermediary between stock broker and client
- ❑ A sub-broker is allowed to be associated with only one trading member of the Exchange
- ❑ The sub-broker will be required to adhere to NSE's 'know your clients' requirements
- ❑ May be an Individual, a Partnership firm or a Corporate.

Broker-Clients Relations



Client Registration Details

Margin from Clients

Contract Notes

Brokerage

Unique Client Code

Execution of Orders

Payment/Delivery of
Securities to Clients

Segregation of Demat and
Bank Accounts

- ❑ The trading member (TM) is required to enter into an agreement in the specified format provided by NSE with the client before accepting orders on latter's behalf
- ❑ The agreement is executed on non-judicial stamp paper of adequate value, duly signed by both the parties on all the pages
- ❑ “Know Your Client (KYC)” requirements, information such as: investor risk profile, financial profile, investor identification details, address details, income, PAN number, employment, age, investments experience, trading preference.

Margins from the Clients



- ❑ Margins are an important element of such a system
- ❑ The margin collected is kept separately in the client bank account/client beneficiary account
- ❑ Margin requirements should be well documented for the clients, which are defined by Stock Exchanges
- ❑ In case of default, they are utilized for making payment to the clearing corporation for margin and settlement with respect to that client.
- ❑ No trade should be executed without enough margin in client's a/c

Trading Member receives orders from clients in various modes:

- ☐ Telephone (Calls are recorded)
- ☐ Emails
- ☐ Fax
- ☐ Writing
- ☐ Power of Attorney (in case of PMS)

Before executing Order, the dealer of the Trading Member has to check the following on daily basis:

- ☐ Authentication of client
- ☐ Before selling – shares should be available in Client's Demat A/c
- ☐ Before Buying – Credit Balance should be available in Client's Ledger A/c
- ☐ In which Exchange and segment the order should be executed

- ☐ Placing Buy Orders
- ☐ Placing Sell Orders
- ☐ Modification of Orders
- ☐ Cancellation of Orders
- ☐ Confirming the trade
- ☐ Sending Contract Note (within 24 hours it should reach the client)

Brokerage



- ❑ Maximum Brokerage as per SEBI Guidelines is 2.5%
- ❑ Eg: If a client has sold 10000 shares of IFCI Ltd @ Rs. 50, and Bought 2000 shares of Tata Steel Ltd @ 300 what is the maximum brokerage that the client can be charged?

In this case:

maximum brokerage = brokerage rate*value of the transaction

=2.5 %*(10000 shares*Rs. 50) = Rs. 12,500 and

=2.5 %*(2000 shares *Rs. 300) = Rs. 15,000

Total =Rs. 27,500



**TRADING
SYSTEM**

Trading System



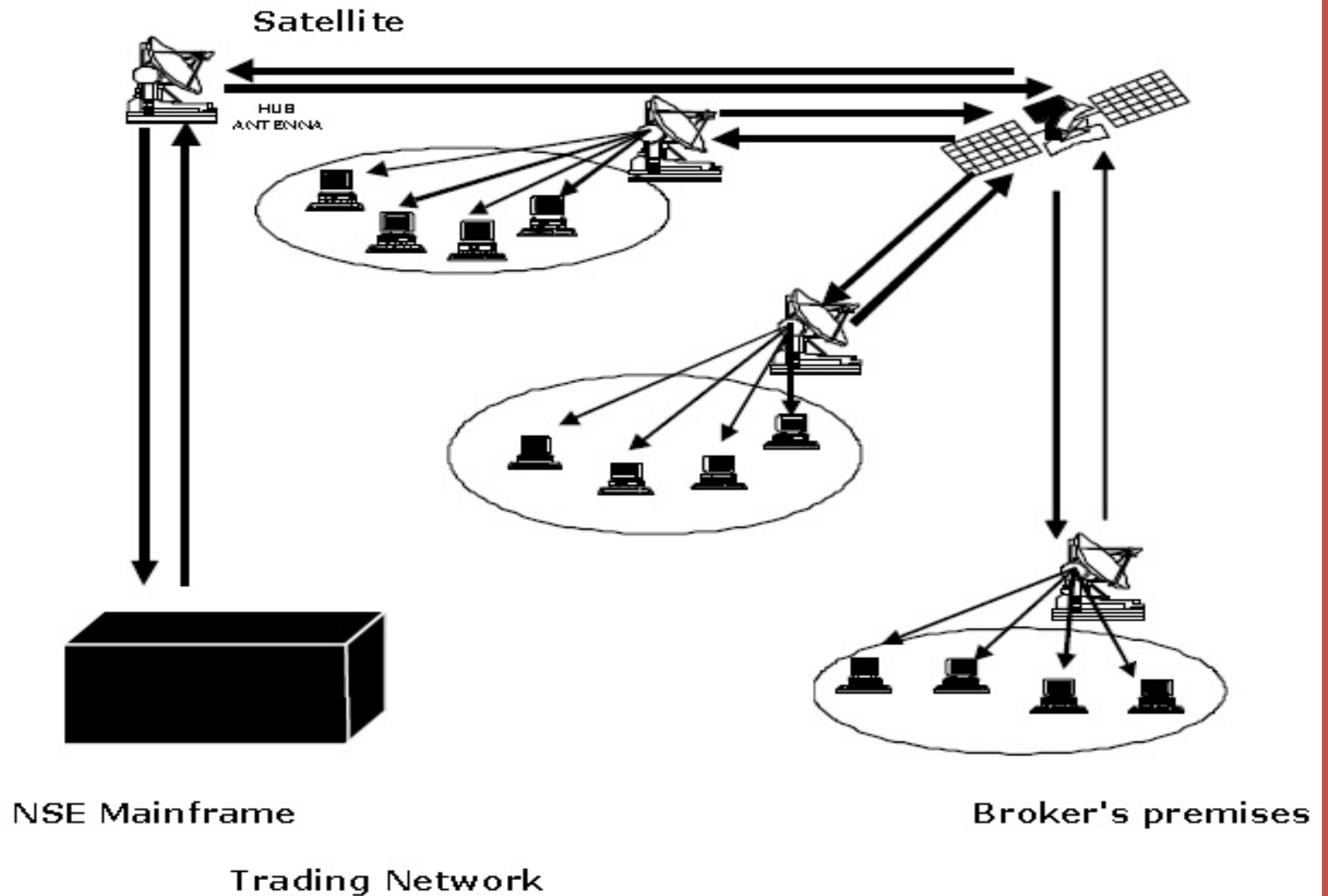
☐ NEAT

☐ NEAT Plus

☐ NOW

☐ Mobile

Trading System and Connectivity



- ❑ It is order driven market
- ❑ Orders match on the basis of time and price priority
- ❑ The NEAT system provides an Open Electronic Consolidated Limit Order Book (OECLOB).
- ❑ Limit orders are orders to buy or sell shares at a stated quantity and stated price.
- ❑ Open Book is termed as order book is visible to all market participants

☐ **Normal Markets**

- Regular Lot Orders
 - An order with no special condition
 - Lot size is 1
- Stop Loss Orders

☐ **Odd Lot Market**

- Physical settlement
- Quantity should be less than 500

☐ **Auction Market**

☐ **Post Close**

- Trading at a single price between 3:50 pm and 4:00 pm

Software/Files required to be downloaded

- ❑ Files (provided by Stock Exchange) required to be downloaded, unzipped and uploaded in their respective trading software by the members on a daily basis.

Sr No	File Name	Content
1.	Security.zip	Secutity.txt
2.	Participant.zip	Participant.txt
3.	FreeFloat.zip	FreeFloat.txt

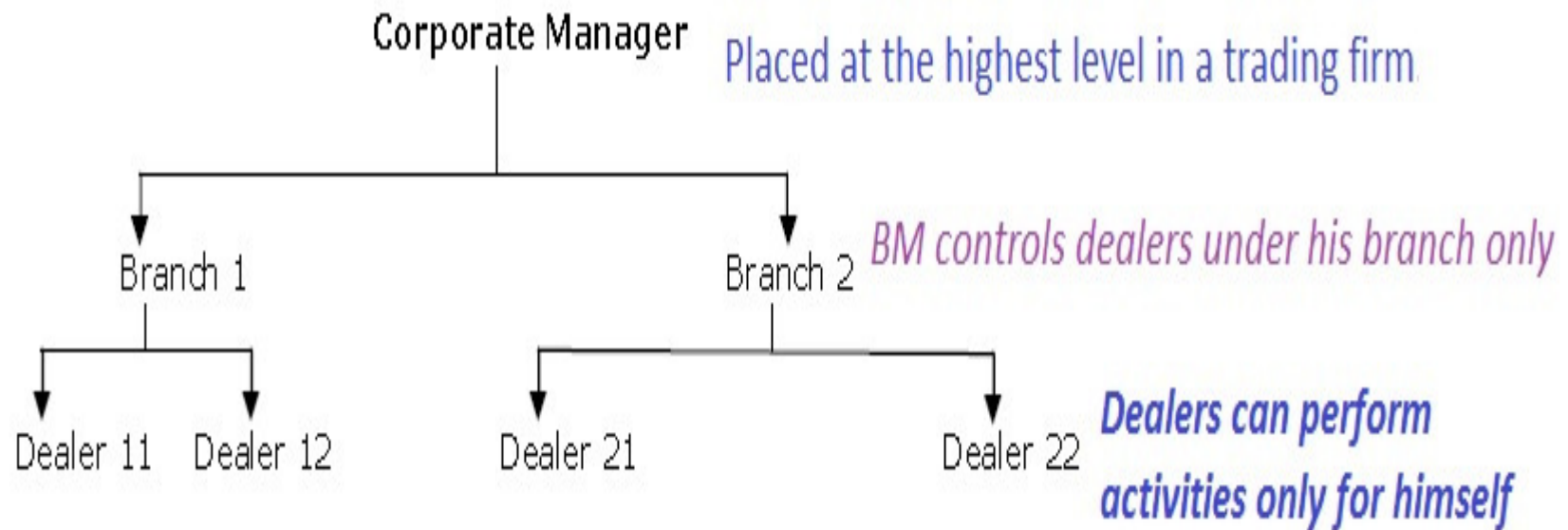
- ❑ Following Assistance to be taken from IT (Systems Dept for the following :
 - Software / Terminal not getting Logged In
 - System Locked due to Wrong Password
 - Uploading of New Version of Trading Software
 - Uploading of New Patches of Exe File of Trading Software

Mapping of Clients



- ❑ Dealers should check on daily Basis from BackOffice/
Compliance/ Risk management / Accounts
Department for:
 - Old Client Mappings
 - Any New Client Mapped
 - Any Client Suspended
 - Any Client got Deleted / Removed by Mistake
 - Any Client locked for Debits

Corporate Hierarchy



Trading System users hierarchy

Market timings



Trading takes place on all days of the week (except Saturdays and Sundays and holidays declared by the Exchange)

Normal Market Open : 09:15

Normal Market Close : 15:30

Closing session is held between 15.50 hours and 16.00 hours

Trading on Currency Derivatives Segment takes place on all days of the week (except Saturdays and Sundays and Bank holidays) :

9:00 to 17:00 hours

Logging to the trading system



- ❑ A valid combination of :
 - User ID
 - Trading Member ID
 - Password required

Welcome To
The National Exchange
For Automated Trading
Capital Market - Trader Workstation

User Id

Trading Member Id

Password

New Password

CONFIRM

CANCEL

EXIT

REPORT

LOAD DB

Log-off screen of NEAT



NATIONAL STOCK EXCHANGE

5010 INQUIRY

24 MAR 2011 15:37:03

S&P CNX Nifty 5522.40 (+0.00)

N 1 @ 422.30 GVKPIL EQ N 50 @ 25.00 GITANJALI EQ N 10 @ 234.70 GMRINFRA EQ N 1 @ 37.10 ATLANTA EQ N 11

1 2 ?

ACC	EQ N	0	0.00	0.00	0	1033.40 +	0.36 -
AMBUJACEM	EQ N	0	0.00	0.00	0	136.25 -	3.19 +
AXISBANK	EQ N	0	0.00	0.00	0	1319.45	0.17 +
BAJAJ-AUTO	EQ N	0	0.00	0.00	0	1354.45 -	0.39 -
BHARTIARTL	EQ N	0	0.00	0.00	0	333.25 -	0.80 +
BHEL	EQ N	0	0.00	0.00	0	2048.30 -	2.54 +
BPCL	EQ N	0	0.00	0.00	0	577.25	1.17 +
CAIRN	EQ N	0	0.00	0.00	0	350.80	0.91 -
CIPLA	EQ N	0	0.00	0.00	0	305.95 +	0.67 +
DLF	EQ N	0	0.00	0.00	0	234.20 +	0.04 -
DRREDDY	EQ N	0	0.00	0.00	0	1542.10 +	1.04 -
GAIL	EQ N	0	0.00	0.00	0	459.15 -	1.71 -
HCLTECH	EQ N	0	0.00	0.00	0	460.40 +	1.30 +
HDFC	EQ N	0	0.00	0.00	0	644.10 +	0.88 +
HDFCBANK	EQ N	0	0.00	0.00	0	2192.80	1.28 +
HEROHONDA	EQ N	0	0.00	0.00	0	1475.60	1.91 +
HINDALCO	EQ N	0	0.00	0.00	0	204.80	4.45 +
HINDUNILVR	EQ N	0	0.00	0.00	0	269.10 +	0.07 -
ICICIBANK	EQ N	0	0.00	0.00	0	1053.10	1.24 +
IDFC	EQ N	0	0.00	0.00	0	154.20	3.80 +
INFOSYSTCH	EQ N	0	0.00	0.00	0	3002.80 -	0.38 +
ITC	EQ N	0	0.00	0.00	0	173.00	0.55 +
JINDALSTEL	EQ N	0	0.00	0.00	0	660.30 -	0.41 +
JPASSOCIAT	EQ N	0	0.00	0.00	0	89.40	1.65 +
KOTAKBANK	EQ N	0	0.00	0.00	0	446.20 -	3.66 +
LT	EQ N	0	0.00	0.00	0	1549.75	1.26 +
M&M	EQ N	0	0.00	0.00	0	665.50 +	3.08 +

SIGNOFF

Permanent

Temporary

Exit

15:36:23 M/C :2 Closing price calculation is finished.

15:36:23 M/C :1 Closing price calculation is finished.

@	95.10	NEYVELILIG EQ N 2	@	64.65	MRO-TEK EQ N 50	@	67.00	MCDOWELL-N EQ N 3	@	588.30	DIA EQ N 1	@	1
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Company	Type	Sub Type	Q1 Sales	Q1 Profit	Q1 Margin	Q2 Sales	Q2 Profit	Q2 Margin	Change
DYNACONS	EQ	N	130049	0.35		0.40	1500	0.40	
DYNACONS	BE	N	0	0.00		0.00	0	0.35	?
SRGINFOTEC	BE	N	0	0.00		0.00	0	0.70	- ?
SRGINFOTEC	EQ	N	110000	0.70		0.75	9200	0.75	
PROVOGUE	BE	N	101	272.00		272.95	5	272.45	+
TECHM	EQ	N	6	551.95		552.00	448	552.00	
DRREDDY	EQ	N	11	717.60		717.75	129	717.75	
GRUH	EQ	N XR	130	129.50		129.95	50	130.00	ND
GMRINFRA	EQ	N	610	224.55		224.75	138	224.75	+
ASIANPAINT	EQ	N	2	633.00		634.00	4	633.00	-
HEROHONDA	EQ	N	5	714.90		715.00	1	715.00	
PTC	EQ	N	101	57.60		57.75	25	57.60	-
INOXLEISUR	EQ	N	9	154.35		154.45	50	154.35	-
SUNPHARMA	EQ	N CD	1	886.55		887.00	13	886.55	-
UCOBANK	EQ	N	925	18.65		18.70	3480	18.65	+
RPL	EQ	N	4591	62.95		63.00	13983	63.00	
RELIANCE	EQ	N	250	1126.50		1126.90	10	1126.90	-
RANBAXY	EQ	N	125	400.15		400.20	161	400.15	-
IDFC	EQ	N	399	61.15		61.20	2883	61.15	
REL	EQ	N	12	453.60		453.70	35	453.70	
TCS	EQ	N	1	986.60		986.80	53	986.80	
TVTODAY	EQ	N CD	300	79.05		79.15	149	79.15	+
INDOCO	EQ	N	25	318.35		320.00	133	320.00	+
JETAIRWAYS	EQ	N	10	558.10		558.45	25	558.45	

MARKET WATCH SCREEN

10:31:46 M/C :1 VISHAL BOHRA SIGNED OFF.

10:33:14 M/C :1 VISHAL BOHRA SIGNED ON

S&P CNX Nifty 3426.15 (+25.05)

A EQ N 198 @ 1003.50 SIEMENS EQ N 1054.95 SUNDRMFAST EQ N 20 @ 134.85 SUNFLAG EQ N 1000 @ 14.25 S



DYNACONS	EQ N	202648	0.35		0.40	21000	0.40	
DYNACONS	BE N	0	0.00		0.00	0	0.35	
SRGINFOTEC	BE N	0	0.00		0.00	0	0.70	-
SRGINFOTEC	EQ N	105500	0.70		0.75	10300	0.70	
PROVOGUE	BE N	28	266.50		266.85	90	266.50	+
TECHM	EQ N	122	551.30		551.40	70	551.30	
DRREDDY	EQ N	22	714.10		715.40	100	714.05	-
GRUH	EQ NXR	40	129.15		129.80	10	129.35	- ND
GMRINFRA	EQ N	70	225.35		225.40	180	225.40	
ASIANPAINT	EQ N	50	633.10		635.00	12	635.00	
HEROHONDA	EQ N	4	716.30		716.85	85	716.30	
PTC	EQ N	161	57.20		57.40	1	57.25	+
INOXLEISUR	EQ N	150	154.25		154.30	48	154.20	-
SUNPHARMA	EQ N CD	60	885.40		885.90	1	885.25	-
UCOBANK	EQ N	11729	18.60		18.65	126	18.65	
RPL	EQ N	4192	62.75		62.80	2662	62.75	
RELIANCE	EQ N	235	1127.15		1127.75	100	1127.15	
RANBAXY	EQ N	399	399.60		399.90	136	399.60	
IDFC	EQ N	151	61.95		62.00	8778	62.00	+

RL	RELIANCE	EQ	1331997	1139.90	1124.00	1127.15	+	0.45	1127.04
1			235	1127.15	1127.75	100			1
1			500	1127.10	1128.00	414			5
1			300	1127.05	1128.20	70			2
1			1	1127.00	1128.35	70			1
2			78	1126.25	1128.80	25			1
Total Buy :			60390	BUY		Total Sell :	562017	SELL	

MARKET BY PRICE (MBP) SCREEN

11:33:13 M/C :1 to appoint auditors for the company's branch office at New Jersey,

11:33:13 M/C :1 United States.

3426.25 (+25.15)

JOKEY EQ N 1 @ 40.20 BAGYAMETAL EQ N 27 @ 74.40 BAJAJAUTO EQ N 1 @ 2750.00 BEL EQ N 10 @ 1166.00 BEL



Company	Type	Q1'20	Q1'19	Q1'20	Q1'19	Q1'20	Q1'19
DYNACONS	EQ N	130049	0.35		0.40	1500	0.40
DYNACONS	BE N	0	0.00		0.00	0	0.35 ?
SRGINFOTEC	BE N	0	0.00		0.00	0	0.70 - ?
SRGINFOTEC	EQ N	110000	0.70		0.75	9700	0.75
PROVOGUE	BE N	10	266.20		272.75	49	272.00 -
TECHM	EQ N	2	549.50		549.70	174	549.70
DRREDDY	EQ N	1	717.55		717.65	34	717.65
GRUH	EQ N XR	80	129.50		129.95	50	130.00 ND
GMRINFRA	EQ N	6	224.80		225.00	268	225.00
ASIANPAINT	EQ N	32	633.00		634.00	104	633.00
HEROHONDA	EQ N	20	714.30		715.00	45	715.00 +
PTC	EQ N	200	57.65		57.75	500	57.60 -
INOXLEISUR	EQ N	25	154.75		154.80	25	154.30 -
SUNPHARMA	EQ N CD	41	886.50		886.90	20	886.50
UCOBANK	EQ N	18635	18.60		18.65	2900	18.65 +
RPL	EQ N	11905	62.95		63.00	12342	63.00 +
RELIANCE	EQ N	490	1127.25		1127.40	30	1127.25
RANBAXY	EQ N	226	400.50		400.55	1	400.50
IDFC	EQ N	6517	61.40		61.45	191	61.45
DEL	EQ N	50	152.00		152.00	50	152.00

NORMAL Market As Of 10:42

RELIANCE	EQ	TTQ:	546254	52 Wk High:	1184.40	Low:	580.10		
	1122.10		1129.90		1139.90		1125.50	1127.40	+ 0.47
		LTQ:	133		LTT: 10:42		LTD: 29 AUG 2006		
			500		1127.25		1127.40		30

MARKET INQUIRY SCREEN

10:31:46 M/C :1 VISHAL BOHRA SIGNED OFF.

10:33:14 M/C :1 VISHAL BOHRA SIGNED ON.

3426.60 (+25.50)

N 604 @	187.50	RUCHINFR	IND EQ N 500 @	37.35	SINTEX	EQ N 100 @	177.60	NATIONALUM	EQ N 100 @	208.70	SOM
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Company	Category	Value	Delta	Ratio	Delta	Ratio	Delta	Ratio
DYNACONS	EQ N	130049	0.35	0.40	1500	0.40		
DYNACONS	BE N	0	0.00	0.00	0	0.35	?	
SRGINFOTEC	BE N	0	0.00	0.00	0	0.70	?	
SRGINFOTEC	EQ N	110000	0.70	0.75	9700	0.75		
PROVOGUE	BE N	100	266.25	271.95	49	266.20	-	
TECHM	EQ N	100	548.35	548.45	41	548.45		
DRREDDY	EQ N	1	717.55	717.60	100	717.60		
GRUH	EQ N XR	80	129.50	129.95	50	130.00		ND
GMRINFRA	EQ N	55	224.80	225.00	240	225.00		
ASIANPAINT	EQ N	32	633.00	634.00	104	633.00		
HEROHONDA	EQ N	8	715.20	715.50	1	715.20		
PTC	EQ N	200	57.65	57.75	500	57.60	-	"BU
INOXLEISUR	EQ N	39	154.80	154.85	100	154.75		Scr
SUNPHARMA	EQ N CD	4	887.05	887.50	8	887.05	+	
UCOBANK	EQ N	18635	18.60	18.65	2900	18.65	+	
RPL	EQ N	11685	62.95	63.00	12667	62.95		
RELIANCE	EQ N	1132	1127.25	1127.40	1	1127.25		
RANBAXY	EQ N	237	400.50	400.55	49	400.50		
IDFC	EQ N	442	61.45	61.50	5276	61.50	+	
REL	EQ N	105	453.25	453.30	254	453.60	+	
TCS	EQ N	412	987.00	987.25	1	987.00		
TVTODAY	EQ N CD	279	78.85	79.00	546	79.00	+	
INDOCO	EQ N	7	318.30	320.00	133	318.35	-	
JETAIRWAYS	EQ N	45	558.05	558.60	22	558.60		

“BUY” Screen

BUY	RL	Symbol	Series	Qty	Price	PRO	NSEIL	DAY
Disclosed					NSEIL		Remarks	

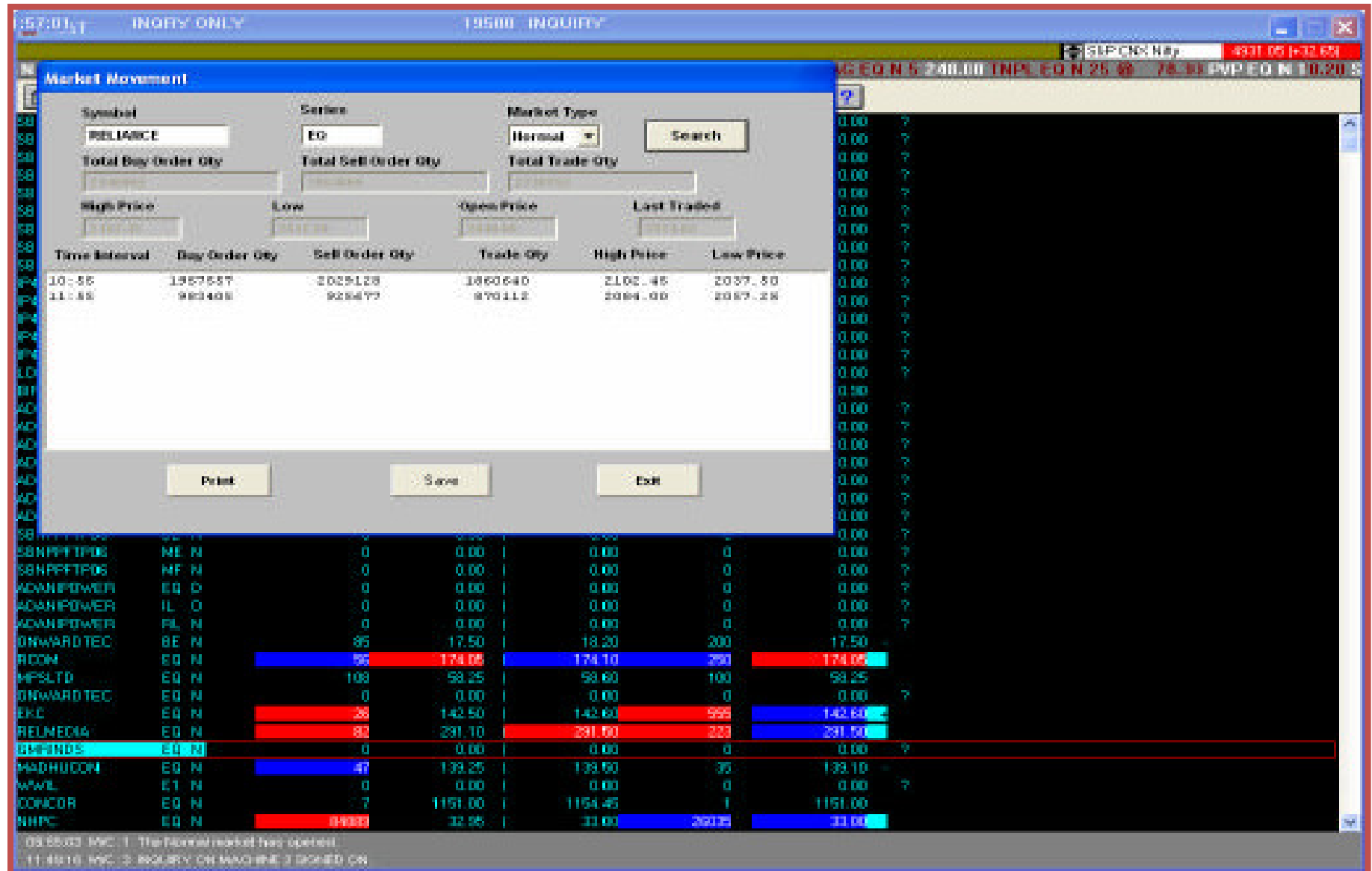
10:31:46 M/C :1 VISHAL BOHRA SIGNED OFF.
10:33:14 M/C :1 VISHAL BOHRA SIGNED ON.

Function not available

National Stock Exchange
of India Ltd

42

Market Movement Window



NEAT

NATIONAL STOCK EXCHANGE

5039

29 AUG 2006 10:50:38

S&P CNX Nifty

3428.60 (+27.50)

HCC EQ N 200 @ 109.30 HINDOILEXP EQ N 100 @ 120.20 IFCI EQ N 1000 @ 100 @ 10 HOTEL EQ N 74 @ 273.00 IOC E

Multiple Index Broadcast / Graph

Data
Graph

	Current Index	High Index	Low Index	Open Index	Close Index	% Change	52week High
S&P CNX Nifty	3428.60	3430.20	3396.10	3405.05	3401.10	0.81	3774.15
CNX IT	4437.05	4437.95	4408.70	4408.70	4400.65	0.83	4651.30
CNX Nifty Junior	6019.75	6019.75	6006.00	6006.00	5972.25	0.80	7250.30
S&P CNX Defty	2554.30	2556.65	2531.25	2537.95	2533.15	0.83	2904.85
BANK Nifty	4576.05	4577.20	4529.40	4529.40	4528.40	1.05	5074.40

Print

OK

Cancel

Apply

INDEX BROADCAST SCREEN

10:50:19 M/C :1 of Wyeth Limited be changed from WYETHLEDE to WYETH w.e.f. September

10:50:19 M/C :1 1, 2006.

Prices



- ❑ Open : price at which first trade takes place
- ❑ High : highest price of the day
- ❑ Low : lowest price of the day
- ❑ LTP : last traded price
- ❑ Previous Close : previous days' close price
- ❑ Close Price : ?

Closing Price



Open Price, High Price, Low Price, LTP

Close Price of a share?

Last ½ hours (3:00 to 3:30) weighted average price

$$\frac{\Sigma (1000 \times \text{Rs.}100) + (2000 \times \text{Rs.}101) + (3000 \times \text{Rs. } 102)}{6000}$$

= Rs. 101.35 (Closing Price)

- ❑ **Active Order** – When any order enters into the system, it is an active order. If it finds a match trade takes place.
- ❑ **Passive Order** – An order which has entered into the system, does not find a match and is sitting in the system.

Order matching rule



‘Trading screen shows the unmatched orders’

Buy side		11:00 am	Sell Side	
Quantity	Price (Rs.)		Quantity	Price (Rs.)
1000	100		2000	101
2000	99		500	102
2500	98		1500	103
3000	97		2500	104
2800	96		3500	105

Best Buy Order – Order with the Highest Price

Best Sell Order – Order with the Lowest price

Order matching rule



Buy side		11:00 am	Sell Side	
Quantity	Price (Rs.)		Quantity	Price (Rs.)
1000	100		2000	101
2000	99		500	102
2500	98		1500	103
3000	97		2500	104
2800	96		3500	105

-A new Buy order for 1000 shares @ Rs. 101.50 comes in at 11:01 am. It is the active order.

-This Buy order will match immediately with the top sell order

Order matching rule



Buy side

11:01 am

Sell Side

Quantity	Price (Rs.)	Quantity	Price (Rs.)
1000	100	1000	101
2000	99	500	102
2500	98	1500	103
3000	97	2500	104
2800	96	3500	105

Message : Traded Quantity 1000. Traded Price Rs. 101. Traded Time : 11:01 am

“Active Order matches with a Passive order and trade takes place at the Passive Order Price”

Price – Time Priority



Buy side

11:02 am

Sell Side

Quantity

Price
(Rs.)

1000

100

2000

99

2500

98

3000

97

2800

96

Quantity

Price
(Rs.)

1000

101

500

102

1500

103

2500

104

3500

105

A Buy order comes in at 11:02 am of 1000 Quantity @ Rs. 100.50

It will sit on top of the Buy Side – Price Priority

Price – Time Priority



Buy side

11:02 am

Sell Side

Quantity	Price (Rs.)	Quantity	Price (Rs.)
1000	100.50	1000	101
1000	100	500	102
2000	99	1500	103
2500	98	2500	104
3000	97	3500	105

A Buy order comes in at 11:02 am of 1000 Quantity @ Rs. 100.50

It will sit on top of the Buy Side – Price Priority

Price – Time Priority



Buy side		11:03 am	Sell Side	
Quantity	Price (Rs.)		Quantity	Price (Rs.)
1000	100.50		1000	101
1000	100		500	102
2000	99		1500	103
2500	98		2500	104
3000	97		3500	105

A Buy order comes in at 11:03 am of 1500 Quantity @ Rs. 100.75 (Order A). Another order comes in at 11:03:01 am of 1500 Quantity @ Rs. 100.75 (Order B)

Order A will sit on top of the Buy order Book – Price Time Priority

Price – Time Priority



Buy side		11:03 am	Sell Side	
Quantity	Price (Rs.)		Quantity	Price (Rs.)
1500	100.75 (A)		1000	101
1500	100.75 (B)		500	102
1000	100.50		1500	103
1000	100		2500	104
2000	99		3500	105

Order A sits on top – price time priority

Price – Time Priority



Buy side		11:03 am	Sell Side	
Quantity	Price (Rs.)		Quantity	Price (Rs.)
3000	100.75		1000	101
1000	100.50		500	102
1000	100		1500	103
2000	99		2500	104
2500	98		3500	105

1. A sell order comes in at Rs. 101. Where will it sit?

2. A sell order comes in at Rs. 100.60 . Where will it sit?

3. Will there be a trade? @ Rs. 100.75

Types of Orders

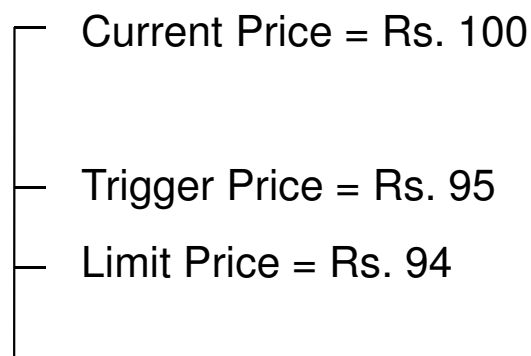


- ❑ **Market order** :Buy or sell orders are to be executed immediately at current market prices
- ❑ **Limit order**: Specify prices at which buy or sell orders are executed
 - Buy : At or lower price
 - Sell : At or higher price
- ❑ **Stop-loss orders**:
 - Sell stocks when price falls below a stipulated level, to stop further losses from accumulating.
 - Buy stocks when price rises above a stipulated level, to limit potential losses from a short position.

Stop Loss orders

❑ Sell :

- Current Market Price : Rs. 100
- Stop Loss Order Trigger Price : Rs. 95
- Stop Loss Order Limit Price : Rs. 94



❑ As soon a market price reaches Rs. 95

- the stop loss order gets triggered
- is released in the regular order book with a limit price of Rs. 94
- i.e. sell at Rs. 94 or better price.

Order Conditions



- | | | | |
|--|--|--|-------|
| ☐ Time: | Day
(valid for the day) | Immediate or Cancel
(immediate execution or cancel. Partial matching possible. Rest of the order cancelled) | |
| ☐ Quantity : | Disclosed Quantity (partially disclosed to market. Eg. 10000 Qty. with DQ 2000. 5 disclosures will be made of 2000 each) | | |
| ☐ Price : | SL | MKT | LIMIT |

- ❑ No Price Band on scrips available in derivatives segment or scrips included in indices on which derivative products are available.
- ❑ Price band of 2% / 5% / 10% or 20% on other scrips

Trading Halts w.r.t Index



% fall / rise in Nifty or Sensex	Time	Action
10%	Before 1 PM	1 hour market halt
10%	At or after 1 pm but Before 2.30 PM	½ an hour market halt
10%	At or after 2.30 PM	Market shall continue trading
15%	Before 1 PM	2 hour market halt
15%	At or after 1 pm but Before 2 PM	1 hour market halt
15%	At or after 2 PM	Trading will halt for the remainder of the day
20%		Trading will halt for the remainder of the day

- ❑ Disclosure for all transactions in a scrip where total quantity of shares bought/sold is more than 0.5% of the number of equity shares of the company listed on the stock exchange
- ❑ The Exchange disseminates the aforesaid information to the general public through its website - www.nseindia.com.

- ❑ Trade for which the quantity traded is 0.5 mill. or above or the value of the trade is Rs. 50 mill. (US \$ 1.05 mill apprx.) or above, qualifies as a Block Trade.
- ❑ The Exchange disseminates the aforesaid information to the general public through its website - www.nseindia.com.

- ❑ 'XD' - ex-dividend
- ❑ 'XB' - ex-bonus
- ❑ 'XI' - ex-interest
- ❑ 'XR' - ex-rights
- ❑ 'CD' - cum-dividend
- ❑ 'CR' - cum-rights
- ❑ 'CB' - cum-bonus
- ❑ 'CI' - cum-interest
- ❑ 'C*' - in case of more than one of CD, CR, CB, CI
- ❑ 'X*' - in case of more than one of XD, XR, XB, XI

Auctions are initiated by the exchange on behalf of trading members for settlement related reasons. The main reasons are shortages, bad deliveries & objections. (Auctions Orders once placed in the trading system can be Cancelled but CANNOT be Modified)

- ❑ *Initiator*
- ❑ *Competitor*
- ❑ *Solicitor*

Different status displayed for an auction security:

- ☐ S - Auction is in Solicitor Period
- ☐ M - System is matching the orders
- ☐ F - Auction is over
- ☐ X - Auction is deleted
- ☐ P - Auction is pending and yet to begin

Auction



- ❑ Auction is held in XYZ for 5,000 shares. The closing price of XYZ on that day was Rs. 155. The last traded price of XYZ on that day was Rs. 150. The price of XYZ last Friday was Rs. 151. The previous day's close price of XYZ was Rs. 160. What is the maximum allowable price at which the member can put a sell order in the auction for XYZ? (The price band applicable for auction market is +/- 20%)
- ❑ Maximum price applicable in auction=Previous day's close price + 20% (Price Band)
- ❑ = Rs. 160 + (20 % of 160 = 32)
- ❑ = Rs. 160 + 32
- ❑ = Rs. 192

Branch Order Value Limit Setup



Eg: A trading member on the NSE, has set the branch order value unlimited for his Chennai branch and Rs. 650 lakh for Kolkata branch. Chennai branch has two users 'X' and 'Y' with user order value limits of Rs. 250 lakh and Rs. 300 lakh respectively. Kolkata branch has one user 'Z' with user order value limit of Rs. 350 lakh. The member applies for a new user at Kolkata. What is the maximum user order value that can be set for the new user?

Chennai = Unlimited = 2 Users = Rs. 550 Lakhs and
Balance Unlimited for New User/s

Kolkata = Rs. 650 Lakhs = 1 User = Rs. 350 Lakhs and
Balance only Rs. 300 Lakhs for New User/s

Net Position



TODAY'S NET POSITION

Symbol and Series		Buy Value (In Lacs)	Buy Qty.	Buy Avg. Price	Sell Avg. Price	Sell Qty.	Sell Value (In Lacs)	Net Qty.	Net Value (In Lacs)	Net Value Mark to market (In Lacs)
AXISBANK	EQ	0.01	1	1300.00	0.00	0	0.00	1	-0.01	0.00
HDFC	EQ	0.07	12	600.00	600.00	10	0.06	2	-0.01	0.00
M&M	EQ	0.01	1	669.50	0.00	0	0.00	1	-0.01	0.00
UBENGG	EQ	0.73	601	122.00	0.00	0	0.00	601	-0.73	0.00
WIPRO	EQ	0.04	9	425.11	422.60	10	0.04	-1	0.00	0.00

	Buy Value (In Lacs)	Buy Qty.	Sell Qty.	Sell Value (In Lacs)	Net Value (In Lacs)	Net Value mark to market(In Lacs)
GRAND TOTALS	0.86	624	20	0.10	-0.76	0.00

☒ IOC

☐ DAY

SQUARE OFF

Select ALL

Clear ALL

Market Type

Client Type

Client A/C

Refresh

Print

ALL

ALL

Backup

Exit

Online Backup



13:55:11 INDY ONLY 19508 INQUIRY

ON-LINE BACKUP

User ID: Branch ID: Client A/C No:

Market Type: All Markets Book Type: All

Symbol: RELIANCE Series: EQ Inst. Type: All

Start Date: 08 NOV 2009 End Date: 08 NOV 2009

Start Time: 09:00 End Time: 13:39

Order: ☒ Buy ☐ Sell ☐ Trade ☐ ☐ ☐ ☐ ☐

All Buy: ☐ All Sell: ☐

Order Start No: Order End No:

Trade Start No: Trade End No:

Format: Copy to Drive: C Directory:

Order File Name: ORDER.TXT Trade File Name: TRADE.TXT

OK Cancel

Symbol	EQ N	701	92.40	1	92.50	1401	92.50
ADANPOWER	EQ D	0	0.00	1	0.00	0	0.00
ADANPOWER	EQ D	0	0.00	1	0.00	0	0.00
ADANPOWER	IL D	0	0.00	1	0.00	0	0.00
ADANPOWER	RL N	0	0.00	1	0.00	0	0.00
ONWARDTEC	BE N	0	0.00	1	0.00	0	0.00
RCOM	EQ N	14	173.55	1	173.60	858	173.60
MPSLTD	EQ N	0	0.00	1	0.00	0	0.00
ONWARDTEC	EQ N	0	0.00	1	0.00	0	0.00
EKC	EQ N	18	141.75	1	141.55	391	141.75
RELMEDIA	EQ N	91	279.55	1	279.75	600	279.55
GHRINDS	EQ N	0	0.00	1	0.00	0	0.00
MADHUCON	EQ N	429	128.35	1	128.50	602	128.35
NWAL	ET N	100	7.40	1	7.55	50	7.55
CONCOR	EQ N	0	0.00	1	0.00	0	0.00
NHPC	EQ N	20314	32.80	1	32.85	56311	32.85

13:30:01, INDY: The Auction market has closed.
13:38:14, INDY: INQUIRY ON-MACH-INDY signed ON.

Trading information downloaded to Members NSE

- ☐ Online Backup
- ☐ Trader message in Full Message Display
- ☐ Bhav copy
- ☐ Security Information
- ☐ Circulars
- ☐ Orders/ Trades Slips
- ☐ Reports
- ☐ Market Statistics
- ☐ Market Indices
- ☐ Trade Verification

**CLEARING, SETTLEMENT
AND
RISK MANAGEMENT**

Determination of Obligation

- ❑ NSCCL determines what counter-parties owe and what counter-parties are due to receive on the settlement date
- ❑ At the end of each trading day, concluded or locked-in trades are received from NSE by NSCCL
- ❑ NSCCL determines the cumulative obligations of each member and electronically transfers the data to Clearing Members (CMs)
- ❑ A multilateral netting procedure is adopted to determine the net settlement obligations (delivery / receipt positions) of CMs.

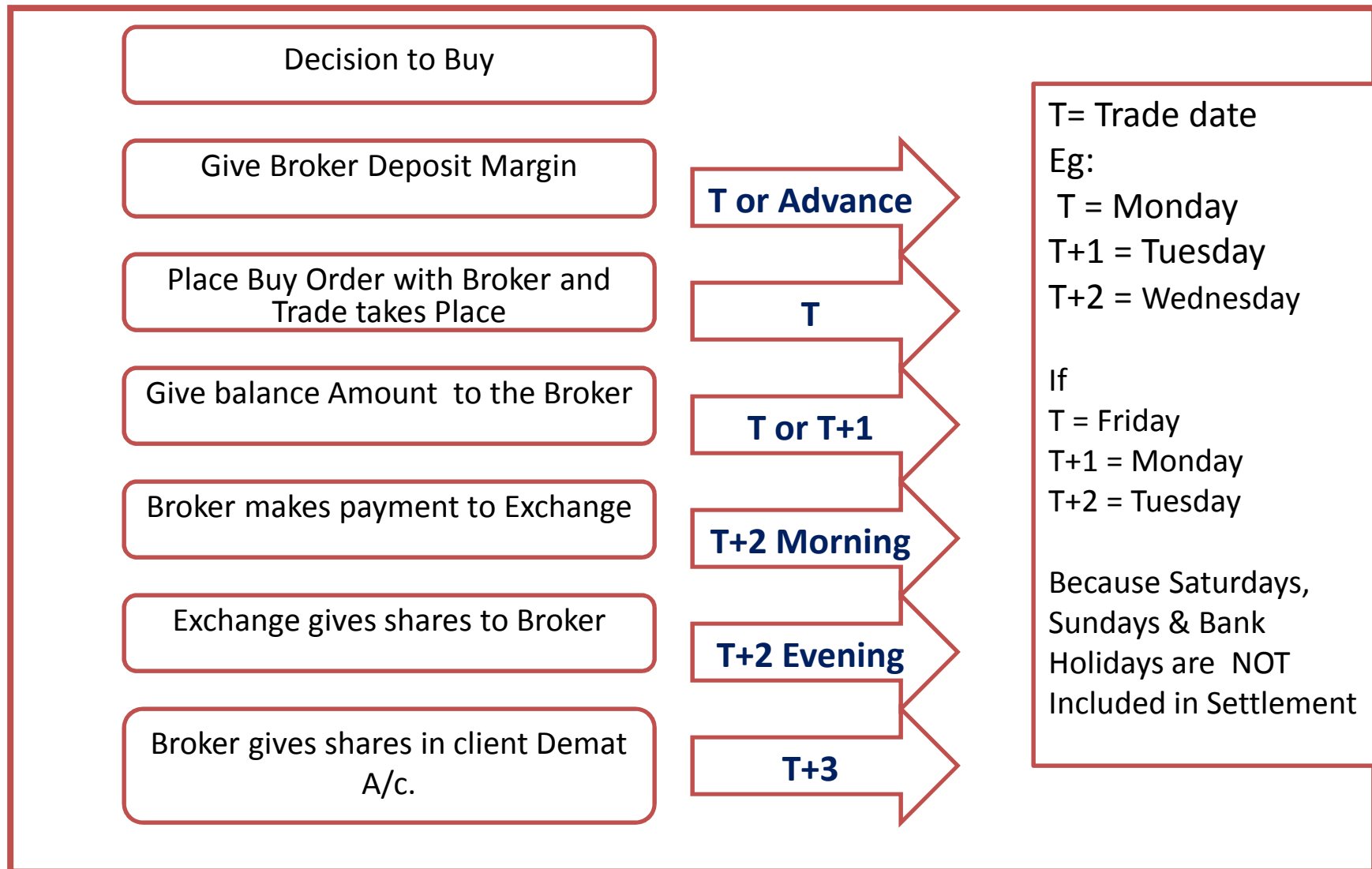
Settlement Process



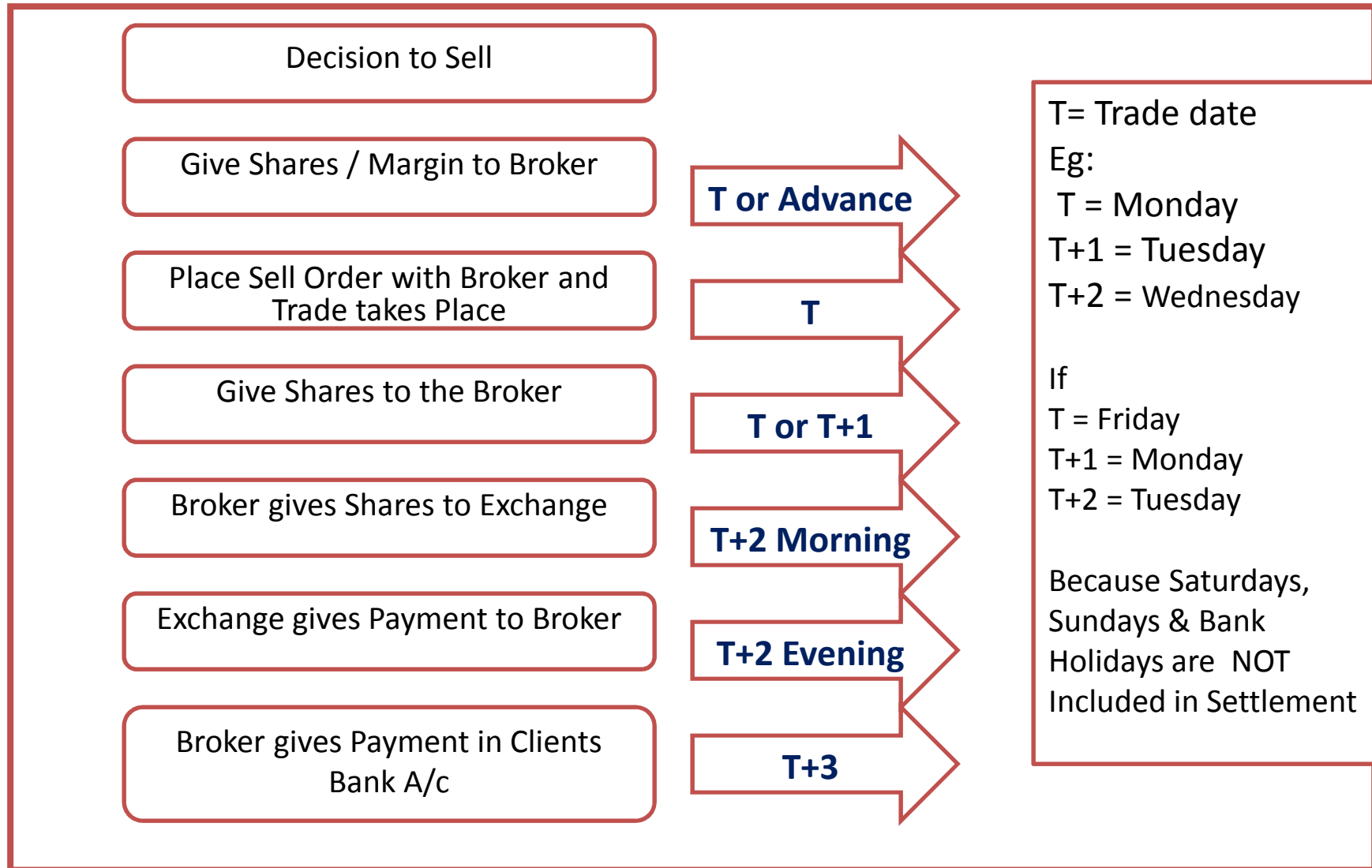
- ❑ The clearing banks and depositories provide the necessary interface between the custodians/clearing members (who clear for the trading members or their own transactions) for settlement of funds/securities obligations of trading members.
- ❑ **Pay-in of Funds and Securities:** The members bring in their funds/securities to the NSCCL.
- ❑ **Pay-out of Funds and Securities:** The depositories and clearing banks debit accounts of NSCCL and credit settlement accounts of members. Settlement is complete upon release of pay-out of funds and securities to custodians/members

- ❑ A person holding assets (securities/funds), either to meet his liquidity needs or to reshuffle his holdings in response to changes in his perception about risk and return of the assets, decides to buy or sell the securities.
- ❑ He selects a broker and instructs him to place buy/sell order on an exchange.
- ❑ The order is converted to a trade as soon as it finds a matching sell/buy order.
- ❑ At the end of the trade cycle, the trades are netted to determine the obligations of the trading members to deliver securities/funds as per settlement schedule.
- ❑ Buyer (seller) delivers funds (securities) and receives securities (funds) and acquires ownership of the securities. A securities transaction cycle

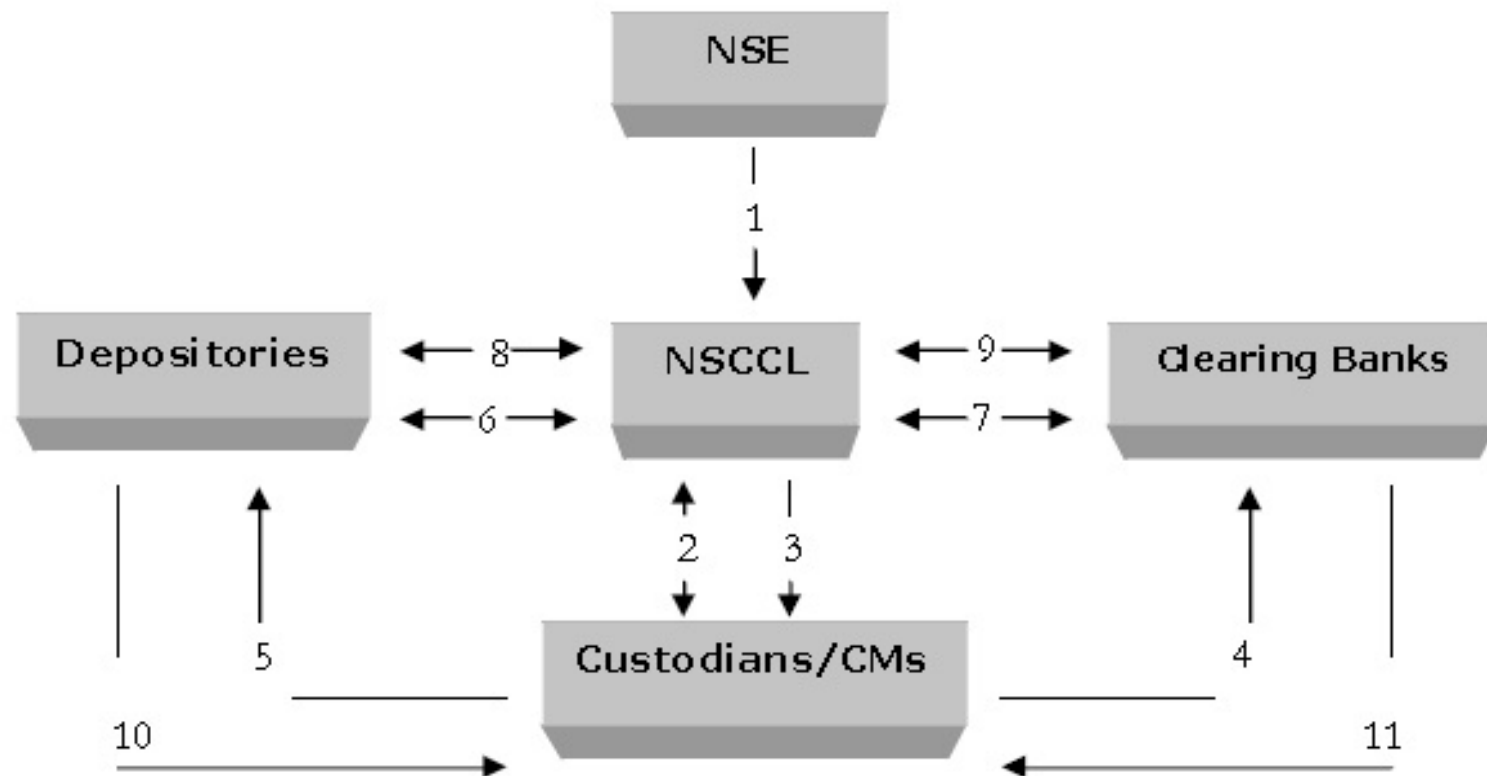
Buying Cycle



Selling Cycle



Settlement Process



Settlement Process in CM segment of NSE

- ❑ Trade details from Exchange to NSCCL (real-time and end of day trade file).
- ❑ NSCCL notifies the consummated trade details to CMs/custodians who affirm back. Based on the affirmation, NSCCL applies multilateral netting and determines obligations.
- ❑ Download of obligation and pay-in advice of funds/securities.
- ❑ Instructions to clearing banks to make funds available by pay-in time.
- ❑ Instructions to depositories to make securities available by pay-in time.
- ❑ Pay-in of securities (NSCCL advises depository to debit pool account of custodians/CMs and credit its account and depository does it).
- ❑ Pay-in of funds (NSCCL advises Clearing Banks to debit account of custodians/CMs and credit its account and clearing bank does it).
- ❑ Pay-out of securities (NSCCL advises depository to credit pool account of custodians/CMs and debit its account and depository does it).
- ❑ Pay-out of funds (NSCCL advises Clearing Banks to credit account of custodians/CMs and debit its account and clearing bank does it).
- ❑ Depository informs custodians/CMs through DPs.
- ❑ Clearing Banks inform custodians/CMs.

Direct Payout to Investors



- ❑ NSCCL has introduced the facility of direct payout (i.e. direct delivery of securities) to clients' account on both the depositories.
- ❑ The client receives payout to the extent of instructions received from the respective clearing members.
- ❑ Clearing members are required to provide a file to NSCCL for effecting pay out to investors' accounts for a particular settlement type, settlement number and delivery type and time limit for submission of files is up to 9.30.am on the pay out day

- ❑ **In the case of failure to give delivery:** At the highest price prevailing in the NSE from the first day of the relevant trading period till the day of closing out or 20% above the closing price on the auction day, whichever is higher
- ❑ **For Limited Physical Market Deals:** In the case of failure to give delivery: At 20% over the actual trade price
- ❑ **For Deleted Security:** Close out shall be the last 26 weeks average trade price on the exchange with a close out mark up of 20%.
- ❑ **Deleted security on account of merger / amalgamation / hive off /scheme of restructuring:** Closing price for such 'deleted security' will be the official closing price of the new security on the auction day prevalent on the Exchange

❑ **Counterparty Risk:**

- Replacement cost risk arises from the failure of one of the parties to transaction
- Principal risk arises if a party discharges his obligations but the counterparty defaults.

❑ **System Risk:**

- Operational risk arises from possible operational failures such as errors, fraud, outages etc.
- Legal risk arises if the laws or regulations do not support enforcement of settlement obligations or are uncertain
- Systemic risk arises when failure of one of the parties to discharge his obligations leads to failure by other parties.

- ❑ The trading members are required to provide liquid assets which adequately cover various margins & minimum capital requirements.
- ❑ Acceptable forms of capital towards liquid assets :
 - Cash
 - Bank fixed deposits
 - Bank Guarantees
 - Government Securities with 10% haircut
 - Equity Shares in demat form with haircut

- ❑ Margins form a key part of the risk management system.
- ❑ In the stock markets there is always an uncertainty in the movement of share prices
- ❑ Let us understand the concept of margins with the help of a following example :

Assume that margin is 15%. That is investor has to give Rs.15,000/- (15% of Rs.1,00,000/-) to the broker before buying

Mark to Market (MTM)



- ❑ Now suppose that investor bought the shares at 11 am on January 1, 2008.
- ❑ Assume that by the end of the day, price of the share falls by 10%. That is total value of the shares has come down to Rs.90,000/-.
- ❑ The buyer has suffered a notional loss of Rs.10,000/-.
- ❑ Similarly, if the price has gone up by 10%. That is total value of the shares has gone up by Rs.90,000/-.
- ❑ The buyer has gained a notional profit of Rs.10,000/-
– This Notional Loss / Profit is called MTM

Imposition of Margins



Imposition of Margins

Group	Trading frequency (over the previous six months*)	Impact Cost (over the previous six months*)
Liquid Securities (Group I)	At least 80 % of the days	Less than or equal to 1 %
Less Liquid Securities (Group II)	At least 80 % of the days	More than 1 %.
Illiquid Securities (Group III)	Less than 80 % of the days	N/A

** For securities that have been listed for less than 6 months, the trading frequency and the impact cost is computed using the history of the scrip.*

Types of Margins



- ❑ Daily margins payable by the trading members in the Cash market consists of the following:
 - (i) Value at Risk (VaR) margin
 - (ii) Mark to Market Margin
 - (iii) Extreme Loss Margin
 - (iv) Cross Margin

Margin Shortfall



Penalty for Margin Shortfall

Instances of Disablement	Penalty to be levied
1st instance	0.07% per day
2nd to 5th instance of disablement	0.07% per day +Rs.5000/- per instance from 2nd to 5th instance
6th to 10th instance of disablement	0.07% per day+ Rs. 20000 (for 2nd to 5th instance) +Rs.10000/- per instance from 6th to 10th instance
11th instance onwards	0.07% per day +Rs. 70,000/- (for 2nd to 10th instance) +Rs.10000/- per instance from 11th instance onwards. Additionally, the member will be referred to the Disciplinary Action Committee for suitable action

Capping of Margins



- ☐ Maximum margin is 100%
- ☐ Exemption of margin on Early Pay-in of Funds
- ☐ Exemption of margin on Early Pay-in of Securities

❑ **On-Line Exposure Monitoring :**

A system of alerts has been built in so that both the member and NSCCL are alerted as per pre-set levels (reaching 70%, 85%, 90%, 95% and 100%) when the members approach their allowable limits.

❑ **Off-line Monitoring :**

Off-line surveillance activity consists of inspections and investigations. The inspection verifies if investor interests are being compromised in the conduct of business by the members.

International Securities Identification Number

- ❑ SEBI being the National Numbering Agency for India has permitted NSDL to allot International Securities Identification Number (ISIN) for demat shares.
- ❑ ISIN for a security is allotted only when the security is admitted to NSDL or on receipt of request for ISIN from CDSL
- ❑ The numbering structure for securities in NSDL is of 12 digit alpha numeric string. The first two characters represent country code i.e. IN (in accordance with ISO 3166). The third character represents the Issuer Type.

Issuer Type



Issuer Type	Code allotted
Central Government	A
State Government	B
Municipal Corporation	C
Union Territories	D
Company, Statutory Corporation, Banking Company	E
Mutual Funds including UTI	F

Note: ISINs for Government Securities (Gsec) i.e. loans raised by Central and State Government are allotted by Reserve Bank of India (RBI).

Security Type



Security Type	Code
Equity Shares	01
Mutual Fund	01
Convertible Preference Shares	03
Non Convertible Preference Shares	04
Secured Debentures	07
Unsecured Debentures	08
Regular Return Bonds, Promisory Notes	09
Floating Rate Bond	10
Deep Discount Bond	11
Step Discount Bond	12
Warrants	13
Commercial Paper	14
Pass Through Certificate	15
Certificate of Deposit	16
Security Receipt	18

❑ **Obligation Reports:**

- Daily Obligation Report
- Final Obligation Report
- Net Daily Obligation Report
- Net Final Obligation Report

❑ **Custodial Trade Reports**

- Order Confirmation Report
- Custodian Trades Report
- Trades Report

❑ **Deliveries Reports**

- Demat Final Delivery Statement (DFDS)
- Demat Final Receipt Statement (DFRS)
- Client Allocation Details (CADT)
- Member-wise With-held Securities Statement
- Deliveries Report
- Security Shortage Report

Data and Report Downloads



☐ **Auction Reports**

Auction Square Up Debit Statement:

Auction Square Up Credit Statement

Auction Difference Statement

☐ **Margin Reports**

Member-wise Daily Margin Payable Statement

Member-wise Margin Payment Status Report

☐ **Miscellaneous Reports**

Corporate Action Report

Securities Master report

Settlement Calendar

☐ **Following reports are also available on EXTRANET**

Detailed Margin Report (MG02)

Consolidated Margin Report (MG01)

Member Wise STT file (MWST)

Securities Transaction Tax for CM Segment

STT is levied on all transactions of sale and / or purchase of equity shares and units of equity oriented fund and sale of derivatives entered into in a recognised stock exchange.

STT – Capital markets



Particulars	Rate (%)
For Delivery based transactions - Both Buyer and Seller need to pay on the value of transaction	0.10
For non-delivery based transactions - Only the seller needs to pay on the value of transactions	0.025

STT – Futures & Options



Taxable Securities Transaction	Rate (%)	Value of taxable securities transaction	Payable by
Sale of an option in securities	0.01	Option premium	Seller
Sale of an option in securities, where option is exercised	0.10	Settlement Price	Purchaser
Sale of a futures in securities	0.01	Price at which such "futures" is traded	Seller

Transaction Charges – Capital markets



Total Traded Value in a month	Transaction Charges (Rs. Per Lakh of Traded Value)
Up to First Rs. 1250 crores	Rs. 3.25 each side
More than Rs. 1250 crores upto Rs. 2500 crores (on incremental volume)	Rs. 3.20 each side
More than Rs. 2500 crores upto Rs. 5000 crores (on incremental volume)	Rs. 3.15 each side
More than Rs. 5000 crores upto Rs. 10000 crores (on incremental volume)	Rs. 3.10 each side
More than Rs. 10000 crores upto Rs. 15000 crores (on incremental volume)	Rs. 3.05 each side
Exceeding Rs. 15000 crores	Rs. 3.00 each side

Transaction Charges – Futures & Options

Total Traded Value in a month	Transaction Charges (Rs. Per Lakh of Traded Value)
Up to First Rs. 2550 cores	Rs. 1.90 each side
More than Rs. 2500 crores upto Rs. 7500 crores (on incremental volume)	Rs. 1.85 each side
More than Rs. 7500 crores upto Rs. 15000 crores (on incremental volume)	Rs. 1.80 each side
Exceeding Rs. 15000 crores	Rs. 1.75 each side

For the transactions in the options sub-segment the transaction charges are levied on the premium value at the rate of 0.05% (each side)

LEGAL FRAME WORK

- ❑ Various activities in the securities market in India are regulated in a co-ordinated manner by four regulators :
 - Department of Economic Affairs (DEA) of Ministry of Finance,
 - Ministry of Company Affairs,
 - Securities and Exchange Board of India (SEBI)
 - Reserve Bank of India (RBI).
- ❑ SRO (Self Regulatory Organisation)
 - National Stock Exchange
 - Bombay Stock Exchange

- ❑ One of the main functions of SEBI is to register and regulate the functioning of various types of intermediaries and persons associated with securities market in a manner as to ensure smooth functioning of the markets and protection of interests of the investor
- ❑ SEBI had issued regulations governing the registration and regulatory framework for each intermediary
- ❑ The responsibility for regulating the securities market is shared by DEA, Ministry of Corporate Affairs, SEBI and RBI

- ❑ The malpractice of 'insider trading' affects the innocent investors.
- ❑ 'Insider trading' means selling or buying in securities on the basis of price sensitive unpublished information of a listed corporate which if published could lead to a fall or rise in the prices of shares of the corporate
- ❑ "Insider" means any person who, is or was connected with the company or is deemed to have been connected with the company
- ❑ "Insider" is reasonably expected to have access to unpublished price sensitive information in respect of securities of a company

- ❑ Any information which is related directly or indirectly to a company and which if published is likely to materially affect the price of securities of a company
 - (a) periodical financial results of the company;
 - (b) intended declaration of dividends (both interim and final);
 - (c) issue of securities or buy-back of securities;
 - (d) any major expansion plans or execution of new projects;
 - (e) amalgamation, mergers or takeovers;
 - (f) disposal of the whole or substantial part of the undertaking;
 - (g) significant changes in policies, plans or operations of the company

- ❑ Prohibition on Dealing, Communicating or Counselling
- ❑ Investigation
 - a. Initial Disclosure
 - b. Continual Disclosure
 - c. Disclosure by Company to Stock Exchanges
- ❑ SEBI (Prohibition of fraudulent and Unfair Trade Practices relating to securities market) Regulations, 2003
 - (i) Fraud
 - (ii) Dealing in Securities

The Depositories Act, 1996



- ❑ The company who issue the shares is called as Issuers
- ❑ The depository is know as Registered Owner
- ❑ The investor is known as Beneficiary Owner
- ❑ The shares are transferred free of cost from one a/c to another at free of cost.
- ❑ Securities in Depositories to be in Fungible Form (Electronic form – i.e - No Certificate, Folio and Distinctive Number)
- ❑ Depository to Indemnify Loss in case of negligence made by Depository Participants
- ❑ Shares in Demat can be Pledged or Hypothecated
- ❑ The Voting Rights lies with the Beneficiary Owner

- ❑ Important terms/definitions used in the Indian Contract Act:
- ❑ (i) **Contract** - agreement between Parties
- ❑ (ii) **Standard Form Contracts** - Standard Form Contracts has come into existence for various business organisations eg Stock Broking, Insurance, Banking, Lease
- ❑ (iii) **Agency Contract** – Between Broker and Sub Broker / Authorised Person
- ❑ (iv) **Sub-agent** - Sub-agent may be validly appointed by an agent

❑ Important definitions related to Income Tax Act are as follows:

- (i) Domestic Company** – Any Indian / Local Private or Public Limited Company
- (ii) Dividend** – Distribution of accumulated profits by Companies to its Share-Holders
- (iii) Interest on Securities** - Distribution of accumulated profits by Companies / Central or State Government to its Debenture / Bond holders
- (iv) Pan compulsory** : For securities transactions of over Rs. 1 lakh. (But many Brokers have made it mandatory as transactions can go above Rupees 1 lakh any time)

Types of Capital Gains :

- ❑ **Long term Capital Gain** : Capital gain arising from the transfer of a long term capital asset. (365 days or more)
- ❑ **Short term Capital Gain** : Capital gain arising from the transfer of a short term capital asset. (364 days or less)

MATHEMATICAL SKILLS

- ❑ Money has time value. A rupee is less valuable in the future than it is today. Time value of money could be studied under the following heads:
 - (a) Future value of a single cash flow
 - (b) Future value of an annuity
 - (c) Present value of a single cash flow
 - (d) Present value of an annuity

Future Value of a Single Cash Flow



$$\underline{FV = PV (1+r)^t}$$

Example 1: Calculate the value 5 years hence of a deposit of Rs.1,000 made today if the interest rate is 10%.

□ **Solution:**

By discrete compounding

□ $FV = 1,000 * (1+0.10)^5 = 1,000 * (1.1)^5 = (1.10 \times 1.10 \times 1.10 \times 1.10 \times 1.10) = 1,000 * 1.61051 = \text{Rs.}1,610.51$

By continuous compounding

□ $FV = 1,000 * e^{(0.10 * 5)} = 1,000 * 1.648721 = \text{Rs.}1,648.72$

Example 2: How much does a deposit of Rs. 5,000 grow to at the end of 3 years, if the nominal rate of interest is 10 % and compounding is done quarterly?

Solution: Future value = $5,000 * ((1 + 0.10/4)^{(4*3)}) = \text{Rs.}6,724.45$

Future Value of an Annuity



$$FV = CF*(1+r)^{t-1} + CF*(1+r)^{t-2} + \dots + CF*(1+r)^1 + CF$$
$$= CF \left[\frac{(1+r)^t - 1}{r} \right]$$

- ❑ **Example :** Suppose, you deposit Rs. 1,000 annually in a bank for 5 years and your deposits earn a compound interest rate of 10 per cent, what will be value of this series of deposits (an annuity) at the end of 5 years? Assume that each deposit occurs at the end of the year.

Solution: Future value of this annuity is:

$$= \text{Rs.}1000*(1.10)^4 + \text{Rs.}1000*(1.10)^3 + \text{Rs.}1000*(1.10)^2 + \text{Rs.}1000*(1.10) + \text{Rs.}1000 = \text{Rs.}1000 * (1.4641) + \text{Rs.}1000 * (1.3310) + \text{Rs.}1000 * (1.2100) + \text{Rs.}1000*(1.10) + \text{Rs.}1000 = \text{Rs. } 6,105.00$$

- ❑ In case of continuous compounding, the future value of annuity is determined using the formula $FV = CF * (e^{rt} - 1)/r$

Present Value of a Single Cash Flow



❑ In case of discrete discounting: $PV = FV / (1+r)^t$

Example: What is the present value of Rs.1,000 payable 3 years hence, if the interest rate is 12 % p.a.

Solution: Present Value = $1000 / (1.12)^3 = \text{Rs.}711.78$

❑ In case of continuous discounting: $PV = FV * e^{-rt}$

Example : What is the present value of Rs. 50,000 receivable after 3 years at a discount rate of 10% under continuous discounting?

Solution: Present Value = $50,000 / (\exp^{(0.01*10*3)}) = \text{Rs. } 37,041.00$

Present Value of an Annuity



- Present value of an annuity (in case of discrete discounting)

$$- PV = FV \left[\frac{(1+r)^t - 1}{r * (1+r)^t} \right]$$

- Present value of an annuity (in case of continuous discounting)

$$PV_a = FV_a * (1 - e^{-rt})/r$$

Probability of Returns



- ❑ Example : A Portfolio contains Securities with the Expected Returns as follows :

Security	Probability	Return
Reliance	50	10
L & T	30	25
Tata Steel	20	40

What will be the expected return of the portfolio?

$$(.50 \times .10) + (.30 \times .25) + (.20 \times .40) = 20.50 \%$$

**RESEARCH AND
INTERPRETING
REPORTS**

Understanding Financial Statements

- ❑ Accounting is a system of collecting, summarizing, analyzing and reporting in monetary terms, financial status of an organization. The end product of the financial accounting is the financial statements consisting of **Balance Sheet and Profit & Loss Account**.
- ❑ Properly analyzed and interpreted financial statements can provide valuable insights into a firm's performance
- ❑ To extract the information from the financial statements, a number of tools are used to analyse these statements.
 - (a) Comparative Financial Statements,
 - (b) Common sized Statements, and
 - (c) Ratio Analysis.

Comparative Financial Statements



Example – Financial statement of XYZ Ltd. for the years 2000 and 2001 compared as under:

Particulars	<u>Amount (in Rs. Lakh)</u>		<u>Increase/Decrease</u>	
	2000	2001	in amount	in %
Equity Share Capital	15.00	15.00	-	-
Debentures	9.00	6.00	(-) 3.00	(-) 33.33
Current Liabilities	10.00	10.50	(+) 0.50	(+) 5.00
Land and Building	13.00	13.00	-	-
Investments	8.00	10.00	(+) 2.00	(+) 25.00
Current Assets	13.00	8.50	(-) 4.50	(-) 34.62

Common Size Statements



Example – Common size statement of ABC Ltd. for the years 2000 and 2001 is as under:

Particulars	<u>Amount (in Rs. Lakh)</u>		<u>Percentage</u>	
	2000	2001	2000	2001
Equity Share Capital	15.00	15.00	23.62	16.17
Debentures	9.00	6.00	14.17	6.47
Current Liabilities	10.00	10.50	15.75	11.32
Land and Building	13.00	13.00	20.47	14.02
Investments	8.00	10.00	12.60	10.78
Current Assets	13.00	8.50	13.39	41.23
Total	63.50	92.74	100.00	100.00

❑ Return for Shareholders

(a) Earnings Per Share (EPS): EPS measures the profit available to the equity shareholders on a per share basis, that is, the amount that they can get on every share held

$$\text{EPS} = \text{Net profit after tax} / \text{number of ordinary shares outstanding}$$

(b) Dividend Yield: Dividend Yield is expressed in terms of the market value per share.

$$\text{Dividend yield} = \text{Dividend per share} / \text{Market Price per share} * 100$$

(c) Price to Earnings Ratio: The P/E ratio reflects the price currently being paid by the market for each rupee of currently reported EPS

$$\text{Price to Earnings Ratio} = \text{Market Price of share} / \text{EPS}$$

❑ Return for Shareholders

(d) Return on Equity: It reflects the rate of return which a firm is able to generate on equity

$\text{Return on Equity} = \text{Net income after tax} / \text{Equity}$

$(\text{Equity} = \text{Equity Share Capital} + \text{Reserves and Surplus})$

(e) Debt to Equity Ratio: The Debt to Equity Ratio is the ratio of debt (liabilities) to the share capital plus reserves and surplus (Net worth). It is also known as Financial Leverage Ratio. Higher ratio implies greater financial risk

$\text{Debt to Equity Ratio} = \text{Debt} / \text{Equity}$

❑ Ratios for Short-term Creditors:

(a) Current Ratio: It is the most popularly used ratio to judge liquidity of a firm.

Current Ratio = Current Assets/Current Liabilities

Current Assets include cash, debtors, marketable securities, bills receivable, inventories, loans and advances, and prepaid expenses, while Current Liabilities include loans and advances (taken), creditors, bills payable, accrued expenses and provisions

(b) Acid-Test Ratio (Quick Ratio): Though higher current ratio implies the greater short term solvency of the firm, the break-up of the current assets is very important to assess the liquidity of a firm

Acid-Test Ratio = Current Assets - (Inventory + Prepaid Expenses)/Current Liabilities

❑ Ratios for Efficiency

More popularly known as activity ratios or asset management ratios which help measure how efficiently the assets are employed by a firm under consideration.

(a) Inventory Turnover Ratio: It measures how many times a firm's inventory has been sold during a year.

Inventory Turnover Ratio = Cost of Goods Sold/Inventory

(Cost of Goods Sold = Sales - Gross Profit) and ('Inventory' = stock of goods at the end of the year).

(b) Average Collection Period: Number of days taken to collect an account

**Average Collection Period= (Average Accounts Receivable) /
(Average Daily Credit Sales)**

❑ Ratios for Efficiency

(c) Fixed Assets Turnover Ratio: This ratio is used to measure the efficiency with which fixed assets are employed

Fixed Assets Turnover Ratio = Net Sales/Average Net Fixed Assets

(d) Gross Profit Ratio: It is defined as ratio between gross profit to net sales

Gross Profit Ratio = Gross Profit/Net Sales

(e) Net Profit Ratio: It is defined as ratio between net profit to net sales

Net Profit Ratio = Net Profit/Net Sales

CLIENT HANDLING

Understanding risk profile of the investors

☐ **RISK TOLERANCE**

- ✓ Age
- ✓ Personal Income
- ✓ Combined Family Income
- ✓ Number of Dependents
- ✓ Occupation
- ✓ Marital Status
- ✓ Education
- ✓ Access to other inherited sources of wealth

Duties of Dealers



- ❑ Dealers must be Honest, Courteous and Professional.
- ❑ Avoid any type of misunderstanding with the client
- ❑ Avoid giving false assumptions or misleading returns to induce them
- ❑ Never to put pressure on client for Trade/Investment or use any type of tactics to get clients.
- ❑ Dealers should advise to clients as and how the Research Team advises
- ❑ Dealer should communicate to clients as soon as the trade is done

Explore a few Investment options



- ☐ Gold ETF
- ☐ NIFTY ETF
- ☐ Derivatives (Futures & Options)
- ☐ Currency Derivatives
- ☐ Mutual Funds on Exchange Platform

What is an ETF?



What is an ETF?

Exposure to an index or a basket of securities

Lists and trades on a stock exchange

Not actively managed

What makes it attractive?



Affordable exposure



Real time prices



Real time trading



Full transparency



No entry and exit fees

GOLD

NIFTY

LIQUID

- ▶ ETFs have been pioneered in India by NSE

Gold ETF



❑ Typically,

1 ETF unit $\approx$ 1g of Gold in spot

❑ ETFs are safe and secure
They hold physical gold

❑ Why Gold ETFs?

SIMPLE

- ▶ 1 unit
- ▶ Easy to buy/sell
- ▶ Buying 1 unit by unit builds wealth

SAFE

- ▶ Assured quality
- ▶ Safety of holding

TRUSTED

- ▶ Accepted as collateral for loans

GOLD V/s GOLD ETF	
Quality risk	No quality risk
Less price transparency	High level of transparency
Very high bid-ask spread	Low bid-ask spread
Not tax efficient	Tax Efficient

JUST REMEMBER

ETF is an easier and more secure way to buy gold.

NIFTY ETF

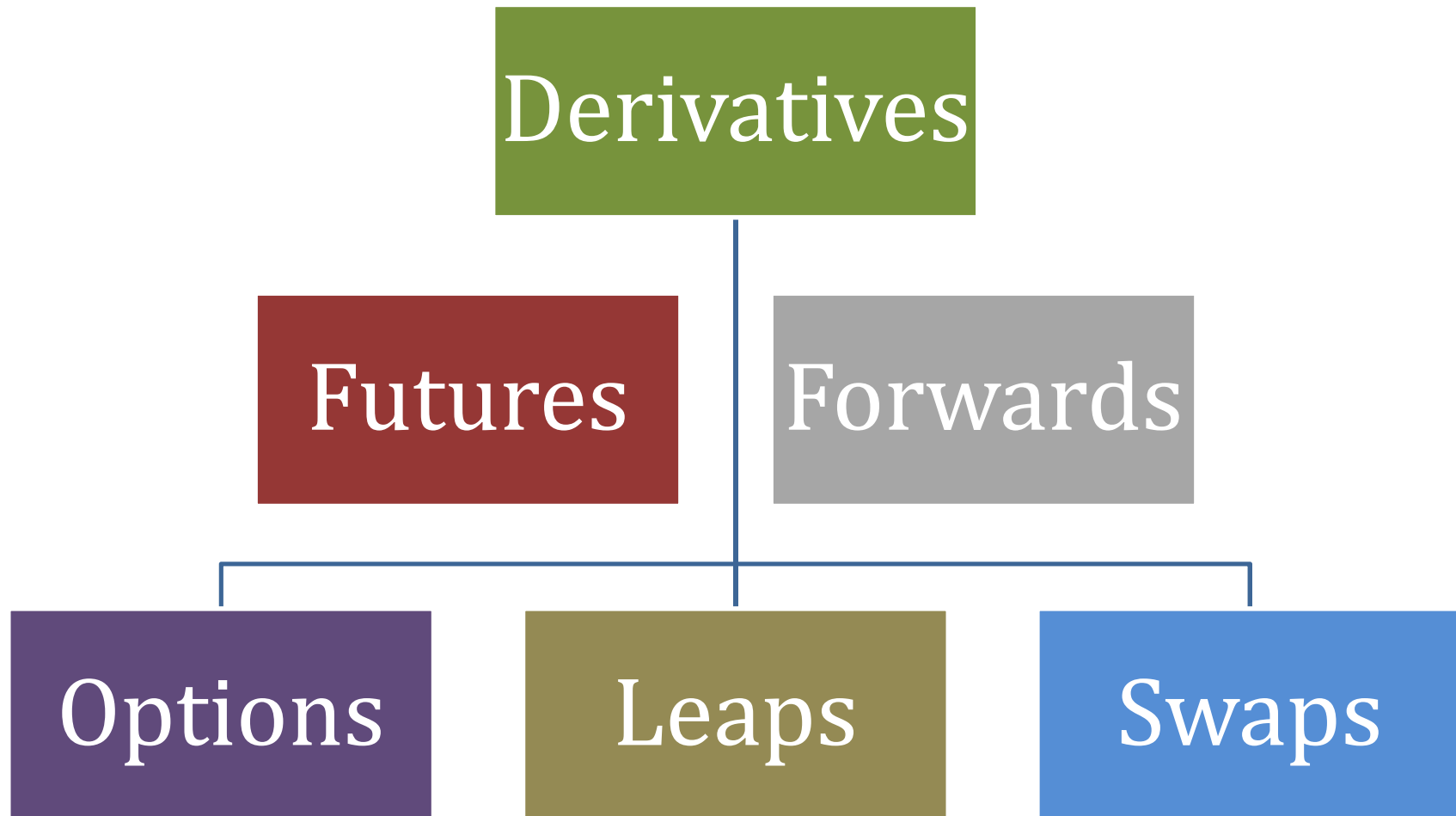


- ❑ Simple way to access markets
- ❑ Diversified portfolio
- ❑ No bias towards sectors or stocks
- ❑ Minimum expense ratio

	STOCKS	NIFTY MUTUAL FUND	NIFTY ETF
EXPOSURE	Narrow	Broad	Broad
VOLATILITY	High	Low	Low
COST OF MAINTENANCE	Low	High	Low
CAPITAL REQ	High	Low	Low
PRICE	Market Rates	NAV at EOD	Market Rates

Nifty ETF is the simple and safe way to access equity markets

- ❑ The term 'Derivative' stands for a contract whose price is derived from or is dependent upon an underlying asset.
- ❑ The underlying asset could be a financial asset such as currency, stock and market index, an interest bearing security or a physical commodity
- ❑ Derivatives that trade on an Exchange are called (Exchange Traded Derivatives), whereas privately negotiated derivative contracts are called OTC – (Over the Counter) contracts



❑ Forward Contracts:

- ❑ The contracts are traded over the counter (i.e. outside the stock exchanges, directly between the two parties) and are customized according to the needs of the parties.
- ❑ Since these contracts do not fall under the purview of rules and regulations of an exchange, they generally suffer from counterparty risk i.e. the risk that one of the parties to the contract may not fulfill his or her obligation.

Futures Contracts:



- ❑ A futures contract is an agreement between two parties to buy or sell an asset at a certain time in future at a certain price.
- ❑ These are basically exchange traded, standardized contracts.
- ❑ The exchange stands guarantee to all transactions and counterparty risk is largely eliminated.
- ❑ Futures contracts are available on variety of commodities, currencies, interest rates, stocks and other tradable assets.
- ❑ They are highly popular on stock indices, interest rates and foreign exchange

- ❑ Options give the buyer (holder) a right but not an obligation to buy or sell an asset in future.

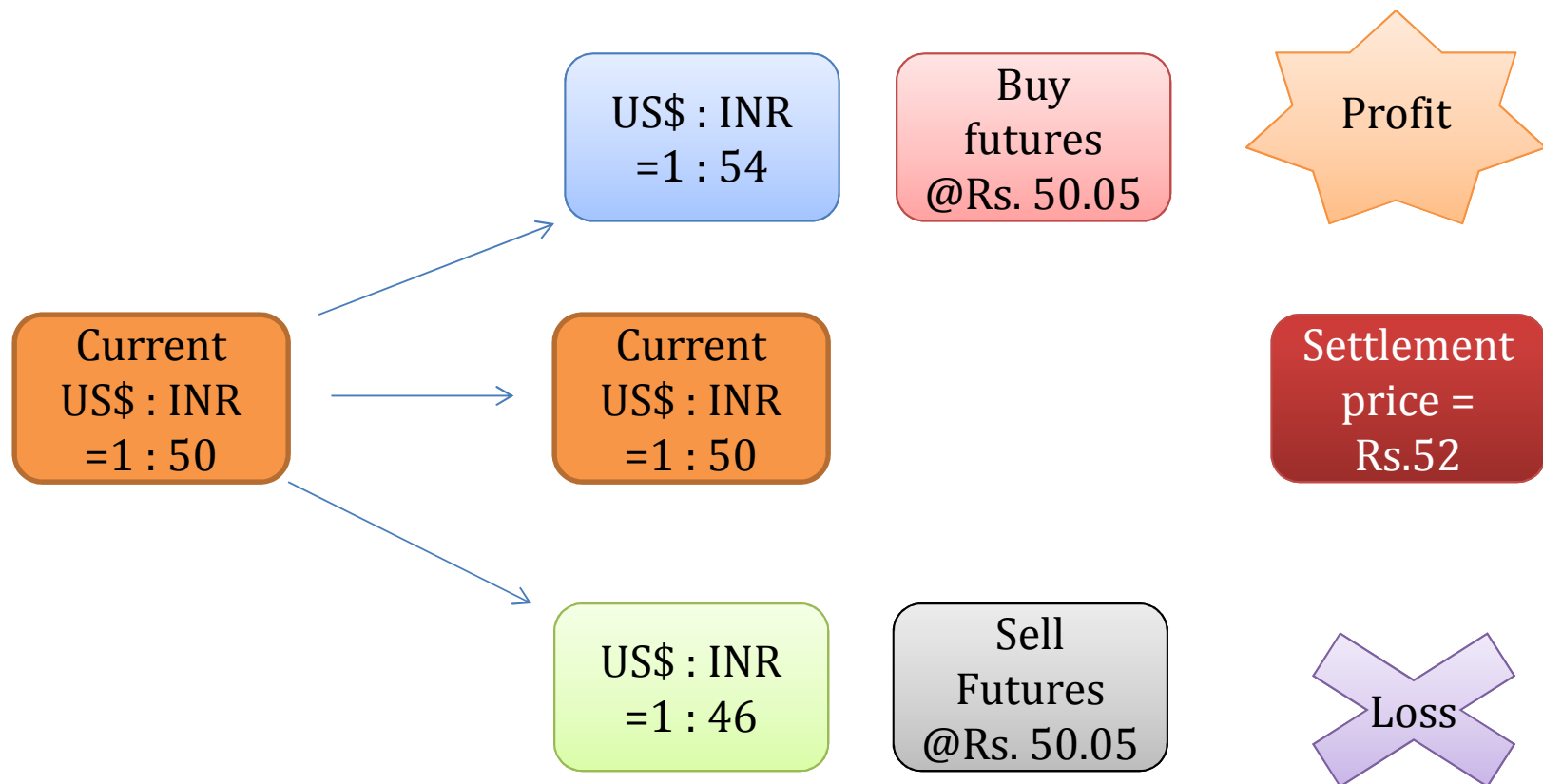
CALL OPTION

PUT OPTION

- ❑ **Call Option** : The Buyer has the RIGHT to buy but not the OBLIGATION to Buy the shares
- ❑ **Put Option** : The Buyer has the RIGHT to sell but not the OBLIGATION to sell the shares

- ❑ Swaps are private agreements between two parties to exchange cash flows in the future according to a prearranged formula. They can be regarded as portfolios of forward contracts.
- ❑ The two commonly used swaps are:
 - **Interest rate swaps**: These entail swapping only the interest related cash flows between the parties in the same currency.
 - **Currency swaps**: These entail swapping both principal and interest between the parties , with the cash flows in one direction being in a different currency than those in the opposite direction.

CURRENCY DERIVATIVES



*Please consult your broker for margin requirement, brokerage etc.

Going Abroad on Holiday

❑ Your total expenditure = US \$ 5000

▶ Current exchange rate = 1:50

▶ total expenditure Rs. 2,50,000
(you can save this much)

▶ What if US\$: Rupee rate becomes
1:54?



Exchange Rate Risk

You will need Rs. 2,70,000,
Rs. 20,000 additional

Manage currency risk



- ▶ Protect yourself
- ▶ Buy Currency Futures

- ▶ Buy US\$: Rupee Currency Futures
- ▶ Buy US\$ 5000 CFs @ Rs. 50.05

- ▶ Settlement Price Rs. 54
- ▶ Your gain $5000 * 3.95 = \text{Rs. } 19750$

- ▶ $\text{Rs. } 19,750 + \text{Rs. } 2,50,000$ (you save)



*Please consult your broker for margin requirement, brokerage etc.

Mutual Fund Service System



One Stop Shop

- Single platform for both MFs and Equities
- Single view of complete portfolio

Ease and Convenience

- No forms and cheques for buy and sell
- Buy and sell throughout trading hours

Reduced Documentation

- Single demat account holds all shares and MF units

Transparency

- Order confirmation, price confirmation

Efficiency

- Timely Credits of MF units

Thank You